



ARM CEMENT LTD
RHINO HOUSE CHIROMO RD.WESTLANDS
P.O BOX 41908-00100 NAIROBI, KENYA

25th August, 2016

The Chief Executive Officer,
Nairobi Securities Exchange Ltd,
P.O Box 43633-00100,
NAIROBI

Dear Sir,

RE:UNAUDITED RESULTS FOR THE SIX MONTHS ENDED JUNE 30, 2016

We are pleased to enclose herewith unaudited results for the six months ended 30th June 2016.

Yours Sincerely,

PRADEEP H. PAUNRANA
MANAGING DIRECTOR

Cc The Chief Executive Officer,
Capital Markets Authority,
P.O.Box 78400-00200
NAIROBI

RESULTS

The Board of Directors is pleased to announce the unaudited results for the Group for the six months ended June 30, 2016

Group revenue for the first six months decreased by 13% compared with the corresponding period last year. The period witnessed increased competition in the Cement market in Tanzania with a new entrant which resulted in downward pressure on prices. Prices were 33% below last year in Tanzania. EBITDA reduced by 17% to KES 1.6 Billion having been affected by reduced turnover and higher energy costs. During the period the finance cost increased to KES 1.5 Billion due to interest costs previously capitalized in 2015 now expensed post commissioning of Tanga plant. This resulted in a NET loss of KES 267 Million. Cash generated before working Capital changes was KES 1.6 Billion during the first six months of this year.

OUTLOOK

Despite the competitive pressures, the Company is positive about the outlook with Cement consumption in the region growing at about 10% per year.

The shareholders of the Company approved the investment by CDC group on August 25, 2016. This Equity investment of USD 140 Million which will be applied towards repayment of Debt and strategic capital investment to support the group's expansion plans which will significantly reduce interest cost leading to improved cash flow and profitability.

DIVIDEND

The Board of Directors does not recommend an interim dividend for the year.

By Order of the Board


R. R. Vora
Company Secretary

UNAUDITED GROUP RESULTS
FOR THE SIX MONTHS ENDED JUNE 30, 2016

CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME FOR THE YEAR ENDED	30.06.2016 Ksh.'000	30.06.2015 Ksh.'000
Revenue	6,670,350	7,689,144
Operating Profit	930,999	1,572,193
Finance Cost	1,469,070	627,040
Profit/(Loss) Before Tax and Unrealised Exchange Losses	(538,071)	945,153
Unrealised Exchange(Gain)/ Losses	(174,165)	1,418,669
Profit/(Loss) Before Tax	(363,906)	(473,516)
Taxation	(97,124)	(117,716)
Profit/(Loss) After Tax	(266,782)	(355,800)
Total comprehensive income for the year	(266,782)	(355,800)
Earnings Per Share(Annualised) (Ksh.)	(1.1)	(1.4)

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT	30.06.2016 Ksh.'000	31.12.2015 Ksh.'000
Assets		
Non Current Assets	43,711,335	44,168,407
Current Assets	8,808,413	7,768,257
Total Assets	52,519,748	51,936,664
Equity & Liabilities		
Share Capital	495,275	495,275
Share Premium	302,027	302,027
Capital and Other Reserves	15,775,633	16,043,295
Equity attributable to equity holders of parent Company	16,572,935	16,840,597
Non - Controlling interest	5,171	5,171
Total Non Current Liabilities	16,578,106	16,845,768
Current Liabilities	13,783,502	14,831,994
Total Equity & liabilities	52,519,748	51,936,664

CONDENSED STATEMENT OF CASH FLOWS FOR THE SIX MONTHS ENDED	30.06.2016 Ksh.'000	30.6.2015 Ksh.'000
Cash Generated before working capital changes	1,610,432	1,951,969
Working capital changes	(568,278)	(1,552,514)
Cash Generated from operations	1,042,154	399,455
Net Interest	(1,189,851)	(627,040)
Tax Paid	(82,485)	(549,093)
Net Cash from Operating Activities	(230,182)	(776,678)
Net Cash used in Investing Activities	(222,363)	(572,699)
Net Cash from Financing Activities	172,104	2,576,684
Increase/(Decrease) in Cash and Cash Equivalents	(280,441)	1,227,307
At start of the Period	206,493	406,756
Exchange Adjustment	174,168	(1,418,669)
At end of the Period	100,220	215,394